

China: Allows qualified foreign investors to trade CGB futures, advancing RMB internationalisation

Beginning 24 April 2026, qualified foreign investors are permitted to trade government bond futures, with the sole purpose of hedging, according to China Securities Regulatory Commission (see [statement](#), Chinese only, dated 24 April 2026). As of the end of March this year, there are a total of 966 qualified foreign investors and 24 custodial banks under the QFII and RQFII schemes.

Offering a key interest rate risk management tool...: While the launch of SwapConnect in 2023 enabled overseas institutions to hedge their China CGB exposures with IRS, we believe CGB futures may attract stronger demand from foreign investors because of their: 1) Stronger correlation with cash bonds, reducing the tracking errors as compared with IRS; 2) Higher capital efficiency as current CFFEX front-month 10y CGB future has a margin requirement of 2%; 3) Robust liquidity (average daily CFFEX 10y CGB future T2606 turnover = RMB76bn notional over the past 3 months), leading to lower transaction costs; and 4) More flexibility to manage long-term interest rate exposure, a feature that is especially important for institutional investors with extended horizons—such as pension funds and sovereign wealth funds—holding long-duration bonds.

...thereby increasing CGB's attractiveness and foreign investors' long-term holding: Previously, when there are significant fluctuations in domestic interest rates, foreign institutions that lack hedging tools often avoid risks by concentrated reduction of current bonds, which in turn exacerbates the fluctuations in the bond market. For example, with diminishing opportunities in China bond asset swap, foreigners' China bond positions have been declining from 2025 (see [China: Analysing the appeal of CGB asset swaps](#), dated 24 January 2024). Foreign institutions' custodial balance in China's bond market has declined from a peak of RMB4.52trn to RMB3.19trn as of March 2026.

With the implementation of CGB futures, foreign institutions can hedge against interest rate risks through the futures market and no longer need to respond to market fluctuations by simply reducing current bond holdings. This can effectively stabilize their holding behavior and reduce the impact of short-term capital flows on the cash bond market, in our view. Meanwhile, it is likely that the availability of more hedging tools will enhance the overall confidence of foreign institutions, guiding them to transition from "short-term transactional" funds to "long-term allocation" funds, further optimizing the bond market's capital structure.

Diversification of investor base may enhance market stability: From an operational perspective, the influx of new capital will likely boost trading activity CGB futures contracts, narrow bid-ask spreads, and reduce market impact costs. This will further deepen market liquidity and price discovery, providing a more efficient trading environment for both domestic and overseas participants, and thereby improving the overall efficiency of market operations.

For example, assuming a 10% hedging need on the current RMB3.2trn bond holding by foreign investors, the incremental hedging demand is estimated at approximately RMB320bn. Assuming with a contract face value of RMB1mn, this translates into about 320k additional futures positions—roughly a 34% increase over the current 938k contract outstanding—providing a meaningful boost to the existing futures market.

Currently, China's government bond futures market is mainly driven by domestic investors—public mutual funds, securities firms, insurance capital, and private funds. Investor types are relatively concentrated, and trading strategies and risk appetites are somewhat homogeneous, which may amplify short-term market volatility during stressful periods. The rising participation of foreign institutions may bring a more global perspective to the Chinese interest rate market, and the diversification of trading styles may enhance the market stability.

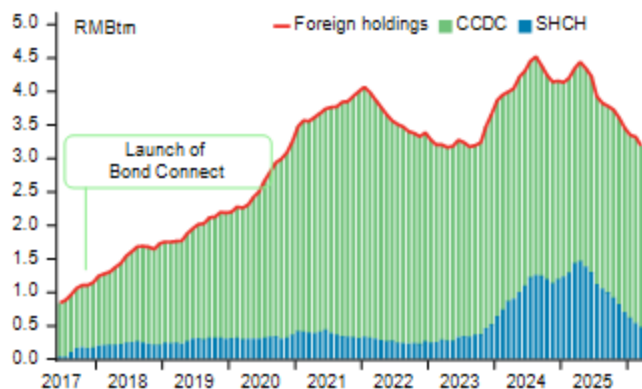
A timely push for RMB internationalisation and capital market opening up: The latest move follows a string of reforms aimed at opening up China's financial markets. It builds on last September's decision to expand foreign investors' access to the onshore bond repurchase market (see [China: Further opens bond repo market to foreign investors](#), dated 29 September 2025). On top of reduced pressure on RMB depreciation, the resilience of Chinese assets during the Middle East conflict may encourage global investors to consider

the China market, as we see incremental signs of a shift away from USD along with growing current account surpluses and cross border investments in Asia (see [Global flows: USD exposure set to fail](#), 15 April 2026).

Both Panda bond (CNY) and DimSum bond (CNH) markets have already posted recordsetting pace of YTD issuance, showcasing strong demand for RMB-denominated bonds. Pandabond issuance in 2026 totalled RMB104.7bn as at 8 April, more than double the amount in the same period last year, with issuances by foreign entities accounting for 50% of total issuance. Dim-sum bond issuance reached RMB449.6bn, more than four times the issuance during the same period last year.

While gaining access to CGB futures is another positive step, we acknowledge that it may take a bit more time for foreign investors to fully return to the Chinese bond market as the nominal yields in China onshore are still relatively low compared with global peers. The CSRC said it will roll out additional reforms for the futures market and further advance the openingup of the capital market. We believe that the combined effect of policydriven market liberalisation and the steady performance of RMB assets should help increase the attractiveness of RMBdenominated investments over time.

Foreign holdings of China bond



Sources: Bloomberg, Macrobond, BNP Paribas

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